

may be, that is, on how much the company's profits will be affected by the varying stages of the business cycle. More important, comparing past per-share earnings with price ranges will furnish the price-earnings ratio at which the stock sold in the past. This serves as a base from which to start measuring what the price-earnings ratio may be in the future. Here again, however, it must be kept in mind that it is the future and not the past which governs. Perhaps the shares for years have steadily sold at only eight times earnings. Now, however, changes in management, establishment of an outstanding research department, etc., are putting the company into the class that is currently selling around fifteen times earnings instead of eight. Then anyone estimating future earnings and figuring the anticipated value of the shares at only eight instead of fifteen times earnings might again be leaning too heavily on past statistics.

I headed this subdivision of my comments "Don't forget your Gilbert and Sullivan." Perhaps I should have headed it "Don't be influenced by what doesn't matter." Statistics of former years' earnings and particularly of per-share price ranges of these former years quite frequently "have nothing to do with the case."

4. Don't fail to consider time as well as price in buying a true growth stock.

Let us consider an investment situation that occurs frequently. A company qualifies magnificently as to the standards set up under our fifteen points. Furthermore, very important gains in earning power are going to appear about a year from now, due to factors about which the financial community is, as yet, completely unaware. Even more important, there are strong indications that these new sources of earnings are going to grow importantly for at least several years after that.

Under normal circumstances this stock would obviously be a buy. However, there is a factor that gives us pause. Success of other ventures in prior years has given this stock so much glamour in the financial world that if it were not for these new and generally unknown influences, the stock might be considered to be reasonably priced around 20 and out of all reason at its present price of 32. Assuming that five years from now these new influences could easily cause it to be fully worth 75, should we, right now, pay 32—or 60 per cent more than we believe the stock is worth? There is